

2 - Ratio Analysis

Flipped learning - Please watch these short videos before the start of the lesson



Learning Outcome

By the end of the lesson you will be able to calculate, interpret, and evaluate financial ratios to support business decision-making

To Know



- I know the key financial ratios, including:
 - Profitability: gross profit margin, profit for the year margin
 - Liquidity: current ratio, acid test ratio
 - Gearing ratio
 - Return on capital employed (ROCE)
- I know what each ratio reveals about a business's performance and financial position.
- I know which ratios to use to make informed business decisions (e.g. investment, creditworthiness).
- I know the limitations of using ratio analysis (e.g. use of historical data, lack of qualitative factors, comparability issues).



I Do, We Do, You Do



VGL Statement of comprehensive income (profit and loss account)

	2024	2023
	£m	£m
Sales revenue	33.0	30.1
Cost of sales	16.8	19.6
Gross Profit	16.2	10.5
Operating expenses	4.0	4.0
Operating Profit	12.2	6.5
Interest	1.2	1.3
Profit for the year (Net profit)	11.0	5.2

VGL Statement of financial position (Balance Sheet)

	2024	2023
	£m	£m
<u>Non-current assets (Fixed assets)</u>	101	96
<u>Current Assets</u>		
Inventory (Stock)	14	15
Trade receivables (Debtors)	4	7
Cash	<u>4</u>	<u>10</u>
	22	32
Current Liabilities (Trade payables)	14	17
Net Current Assets	8	15
Non-current liabilities (Long term loans)	60	63
Net Assets	49	48
Share Capital	4	4
Profit & Loss Account (Retained profit)	45	44
Total Equity/Shareholder Funds	49	48

Profitability ratios - recap

(i) Gross Profit Margin

$\frac{\text{Gross Profit}}{\text{Sales revenue}} \times 100$ 2023:

2024:

2023

2024

(ii) Operating Profit Margin

$\frac{\text{Operating Profit}}{\text{Sales revenue}} \times 100$ 2023:

2024:

2023

2024

(iii) Profit for the year (net profit) margin

$\frac{\text{Operating profit - interest}}{\text{Sales revenue}} \times 100$ 2023:

2024:

2023

2024

(iv) Return on capital employed (ROCE) - NEW

$$\frac{\text{Operating Profit} \times 100}{\text{Capital Employed}}$$
 2023:

2024:

This ratio shows how effectively VGL turns internal and external finance invested (i.e. share capital, retained profit and loans) into operating profit.

2023

2024

Liquidity ratios- recap

(v) Current ratio

$$\frac{\text{Current assets}}{\text{Current liabilities}}$$
 2023:

2024:

2023

2024

(vi) Acid test ratio

$$\frac{\text{Current assets} - \text{inventory (stock)}}{\text{Current liabilities}}$$
 2023:

2024:

2023

2024

Solvency ratios

(vii) Dividend cover ratio - NEW

(vii) Gearing ratio - NEW

$$\frac{\text{Non-current liabilities (bank loans)}}{\text{Capital employed}} \times 100$$
 2023:

2024:

2023

2024



What are the potential benefits and limitations of ratio analysis?



Practice exam questions

05/20

Extract E

Kellogg's statement of comprehensive income for the year ending 31st December 2017

	2017 (\$m)
Revenue	12 923
Cost of sales	7 001

Cost of sales	7 201
Gross profit	5 022
Other operating expenses	3 076
Operating profit	1 946
Finance costs	272
Profit on ordinary activities before taxation	1 674
Tax on profit on ordinary activities	405
Profit for the financial year	1 269

(e) Using Extract E, assess the financial performance of *Kellogg's* in 2017.

(12)



Affirmative Checking

Paragraph 1 POINT One ... is.... This is because... IMPLICATION/S Consequently/This means/This will lead to... WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S? Therefore... As a result, ...	
Paragraph 2 POINT In addition another ... is....because.... IMPLICATION/S Consequently/This means/This will lead to... WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S? Therefore...	
Paragraph 3 POINT However, ... This is because... IMPLICATION/S Consequently/This means/This will lead to...	

WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore... As a result, ...
Conclusion:	Overall, (Directly answer the question asked) This is because... (at least TWO of the following) However, success will depend on... In the short term/In the long term... It is recommended that ...

Attempt to produce a detailed plan

Extract G

ASOS launches survival plan

The UK-based online fashion retailer, which has seen its shares slump by as much as 80% in the past year, has launched a major cost-cutting strategy in a fight to prevent losses.

Under plans by its chief executive, ASOS will reduce the amount of products it stocks, cut spending and reduce investment in robotic warehouses in the US. ASOS admitted that it had become too dependent on discounts and promotions and is planning to reduce these.

The plan followed reports that ASOS was facing a cash shortage as it hurried to agree new lending with banks. Its debt totalled £153m, compared with a cash balance of £200m a year earlier.

ASOS said it was expecting the clothing market to decline over the next year.

Extract H

A selection of financial data for ASOS

	2022	2021
	(£m)	(£m)

Revenue	3 936.5	3 910.5
Gross profit	1 717.5	1 776.4
(Loss)/profit for the year	(30.8)	128.4
Current assets	1 554.0	1 559.7
Inventories	1 078.4	807.1
Current liabilities	1 040.0	998.0
Non-current liabilities	942.0	852.5
Capital employed	1 956.9	1 886.5

Using the data in Extracts G and H, evaluate ASOS' survival plan to improve its financial position.

(20)

